

normally buy more bonds to make up for the difference, which is a monetization of the debt that causes the currency to weaken and a movement of money into real assets and other currencies to escape currency weakness. This phase usually takes a couple of years. Initially, there is a move from deflation to a low level of inflation. For example, when Roosevelt decided to print money and go off the gold standard in 1933, the move depreciated the dollar and just negated the deflation; it didn't bring about a high level of inflation. During such times, both gold and bonds can go up together, which is very different from a normal situation in which higher gold prices imply lower bond prices because of the inflation component. This pattern is exactly what has happened in the current cycle when we have had monetary easing and seen both gold and bonds go up.

When I read your description of long-term cycles, it sounded like the U.S. had gone through the fourth of the five phases—a country that still thinks it is rich, but isn't—and is now in the fifth stage: a country in decline. Is that an accurate interpretation of your views?

I believe so.

How long does this cycle typically last?

The entire cycle takes about 100 to 150 years; the fifth phase of a cycle (decline) lasts for about 20 years.

Assuming the U.S. entered its decline phase around 2008, your cyclical model implies the U.S. can remain in a general decline out to 2130. That is a pretty pessimistic outlook. Have there been any situations of countries in the decline phase of the long-term cycle where it hasn't been extremely painful?

The decline of the British Empire after World War II wasn't cataclysmic because the adjustment process was spread out over many years. So was Japan's deleveraging. Essentially a country's conditions can stay about the same for a very long period. It doesn't have to be terrible. But it can be terrible if it is badly managed.

At Bridgewater, criticism is encouraged, including subordinates criticizing superiors. Do any of your employees ever criticize you?